Feasibility study: Riverside Community Kitchen

Feasibility study

This study tests whether Riverside Community Kitchen should proceed.

Target market: local households.

Item	Value
Target market	local households
Declared demand (units a year)	12,000.00
Price per unit	USD 8.00
Revenue at the declared demand	USD 96,000.00

The cost table carries the declared investment and the two operating figures.

Item	Amount
Kitchen fit-out	USD 30,000.00
Equipment	USD 18,000.00
Working capital	USD 6,000.00
Total investment	USD 54,000.00
Fixed cost a year	USD 24,000.00
Variable cost per unit	USD 3.00

Returns at the declared figures

Metric	Value
Revenue at the declared demand	USD 96,000.00
Contribution margin per unit	USD 5.00
Break-even volume	4,800.00 units
Break-even revenue	USD 38,400.00
Margin of safety	7,200.00 units
Margin of safety ratio	60.0%